

Entrepreneurship

A carpenter in the workshop
Is he entrepreneur?

Definition, Concepts

- What is:
- ✓ Entrepreneur?
- ✓ Entrepreneurship?
- ✓ Intrapreneurship?

Origin of the word Entrepreneur

- The term "entrepreneur" is a French word.
- Derived from the verb "entreprendre", which means to do or to undertake.
- It can be divided into two parts (entre/preneur), where "entre", meaning "between", and "preneur" meaning "taker".
- Literally, then, an *entre-preneur* is a "between-taker", or "go-between".

Is this entrepreneurship?

Definition, Concepts

- In French the word means "one who undertakes innovations, finance and business expertise in an effort to transform innovations into economic goods".

Definition, Concepts

- An **entrepreneur** is someone who starts or operates a business venture and assumes the responsibility for it.
- An **entrepreneur** is a person who is willing and able to convert a new idea or invention into a successful innovation.

Definition, Concepts

- **Entrepreneurship** is the act of being an entrepreneur.
- **Entrepreneurship** is the practice of starting new organizations or revitalizing mature organizations, particularly new businesses generally in response to identified opportunities.

Definition, Concepts

- **Entrepreneurs** are those persons (business owners) who seek to generate value, through the creation or expansion of economic activity, by identifying and exploiting new products, processes or markets. (OECD 2007).
- (OECD - Organization for Economic Co-operation and Development)

Definition, Concepts

- **Entrepreneurial activity** is the enterprising human action in pursuit of the generation of value, through the creation or expansion of economic activity, by identifying and exploiting new products, processes or markets (OECD 2007 Entrepreneurship Indicators Steering Group)

Definition, Concepts

- **Entrepreneurship** is the process of creating something **new**, with **value**, by devoting the necessary time and effort, assuming the accompanying financial, psychic, and social risks, and receiving the resulting rewards of monetary and personal satisfaction and independence.

Definition, Concepts

- **Entrepreneurship**: Is the dynamic process of creating incremental wealth.
- The wealth is created by individuals who assume the major risks.

Definition, Concepts

- What are these possible risks?
- The product or service may or may not be new or unique, but value must somehow be infused by the entrepreneur by receiving and locating the necessary skills and resources.

Definition, concepts

- **Social entrepreneur** identifies and solves social problems (they seek to generate social value rather than profits).
- When entrepreneurship is describing activities within a firm or large organization it is referred to as *intra-preneurship*.

Definition

- Entrepreneurial activities are substantially different depending on the type of organization that is being started.
- Entrepreneurship ranges in scale from solo projects (even involving the entrepreneur only part-time) to major undertakings creating many job opportunities (high-profile entrepreneurial ventures).

Entrepreneurship and the Entrepreneur

- What is an Entrepreneur?
 - R. Cantillon – bearer of risk in provision of capital
 - J. B. Say – shifter of resources to higher productivity
 - J. Schumpeter – innovation as disturbing status quo
 - Knight – directs resources in the presence of uncertainty
 - P. Drucker – creating something new, transmuting value
- Modern view
 - pursuit of opportunities to combine and redeploy resources without regard to current ownership or control of the resources

Definition

- The most obvious form of entrepreneurship is that of starting new businesses;
- In recent years, the term has been extended to include social and political forms of entrepreneurial activity.

Entrepreneurship is Multidimensional

- The entrepreneur must:
 1. perceive an opportunity to create value by redeploying society's resources
 2. devise a strategy for marshaling control of necessary resources
 3. implement a plan of action to bring about the change
 4. harvest the rewards that accrue from the innovation

Entrepreneurial Characteristics

- Being an entrepreneur is about more than just starting a business or two, it is about having attitude and the drive to succeed in business.
- All successful entrepreneurs have the following qualities:
 - Have a **strong need for achievement**;
 - Like to be in charge (**autonomy / independence**);

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Entrepreneurial Characteristics

- **High need for autonomy**;
- The enterprising person is highly motivated, energetic, likes to lead, shape and do things their way.
- They are independent, driven, dynamic and may have to be number one or work solo.

Entrepreneurial Characteristics

- Seek opportunities (**Opportunistic**);
- Are **innovative** or creative tendency
- Are willing to take a **calculated risk**
- They have **internal locus of control**

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Entrepreneurial Characteristics

- **High need for autonomy continued**
Successful entrepreneurs have a healthy opinion of themselves and often have a strong and confident personality.
- They are non-conformity : Entrepreneurs tend to be independent souls, unhappy when forced to conform. They are people who find it difficult to work for others, who want to set their goals).

Entrepreneurial Characteristics

- **High need for achievement**;
- The enterprising person is highly motivated, energetic, and has a capacity for hard work.
- They are busy, driven, dynamic and highly committed to getting things done.
- Their high motivation levels are characterised by a high need for achievement, manifesting as the desire to lead, shape and complete projects

Entrepreneurial Characteristics

- **Opportunistic (seek opportunity)**:
 - An opportunity is a gap in a market where the potential exist to do something better and thereby to create value.
 - Identification of new opportunities is the key task of entrepreneurs.
 - The enterprising person is opportunistic and seeks information and expertise to evaluate if it is worth pursuing the opportunity which will usually involve some risk.

Entrepreneurial Characteristics

- **Innovative or creative tendency**
- An entrepreneur is restless with ideas, has an imaginative approach to solving problems, and tends to see life in a different way to others.
- Their innovative tendency and need for achievement helps them to develop ideas to create new products and processes,
- E.g. new technologies, businesses, projects, organisations, comedy and artistic outputs.

Entrepreneurial behaviour and the corresponding traits

Behaviour	Corresponding traits
Self-confidence	Belief in own ability, independence, optimism
Strong will power	Persistent, determination, perseverance
Task/result-oriented	Achievement oriented, hard worker, drive, energy, initiative
Risk-taker	Risk assessment and judicious risk taking ability, likes challenges
Leadership	Good communicator, gets along well with people, responsive to suggestions, concern for other people, develops other people
Originality	Innovative, creative, flexible/open mind, resourceful, versatile, knowledgeable
Future-oriented	Forethought, vision, perceptiveness

Entrepreneurial Characteristics

- **Calculated risk-taking:** Entrepreneurs are opportunistic and seeks information and expertise to evaluate if it is worth pursuing the opportunity which will usually involve some risk.
- Self-awareness with the ability to accurately assessing their own capability;
- Analytical, being good at evaluating the likely benefits against the likely costs of actions;

Matching your skills with business

- We all have skills that we use in day-to-day life.
- We can use some of these skills (or a combination of them) to launch a viable business.
- The skills that will help us in business are likely to be a combination of:
 - Our personal entrepreneurial skills,
 - Our technical skills and
 - Expertise acquired in school and/or business management skills.

Entrepreneurial Characteristics

- **Have internal locus of control;**
- The enterprising person has an internal rather than external locus of control which means that they believe you have control over own destiny and make their own 'luck'.
- This means that they confidently seek to exert control over life, draw on inner resources and believe that it is down to them if they succeed through their own efforts and hard work.

Matching your skills with business

Personal Entrepreneurial Skills	Technical Entrepreneurial Skills	Management Skills
• Inner control /disciplined • Risk taker • Innovative • Change oriented • Persistent • Visionary leader • Ability to manage change	• Planning and goal setting • Decision making • Human relations • Marketing • Finance • Accounting • Management • Control • Negotiation • Venture launch • Managing growth	• Writing • Oral communication • Monitoring environment • Technical business management • Technology • Interpersonal • Listening • Ability to organize • Network building • Management style • Coaching • Being a team player

Matching your skills with business

- When you integrate knowledge, passion, and hobby is the integration of your skills into your business idea.
- Skills are defined as knowledge of doing something or accomplishing something.

Analysis of your personal skills

- Write them (skills) in descending order, from skills with the highest level to lowest level skills.
- Write the ideas close to your noted skills.
- Each idea will be next to the skills that the idea will require.

Matching your skills with business

- This knowledge is covered through five different sources:
 - The knowledge that you get from your home (upbringing),
 - The knowledge that comes from your educational system,
 - Your own intelligence,
 - Your own experience, and
 - Your hobby.

Example: Which skills are important to run the following business ideas?

IDEA	SKILL
Fabrication of automated machine for solid waste classification and milling.	
Computer repair and Automated system design	
Maggot production for selling to fish and poultry farmers	

Analysis of your personal skills

- You must ask and answer several questions:
 - What are the skills that you have?
 - What skills are on a highest level and what skills are on the lowest possible level?
 - What is your educational level?
 - What is your hobby?

Matching your skills with business

- You will experience the following benefits if the business idea matches your personal skills:
 - You will have the knowledge about doing your business. (If you have the knowledge, you will avoid mistakes that can be dangerous for your business).

Matching your skills with business

- If you have skills to accomplish tasks for your business, then you will save money for employing people to implement those activities instead of you.
- You can solve all problems that can occur in your business.
- A decision-making process will be more effective and decisions with better quality.

TYPES OF ENTREPRENEURS

- There is no single agreed definition of entrepreneurship.
- This makes it difficult to have one method of classifying entrepreneurs.
- Therefore entrepreneurs are classified basing on certain grounds.

Matching your skills with business

- You will like your job. This will bring happiness to your life.
- Your passion for doing business will be at the highest possible level.
- Your job will not be stressful.

TYPES OF ENTREPRENEURS

- Entrepreneurs can be classified on the basis of:
 - Their socio- cultural backgrounds,
 - Scale or potential of operations, or
 - Timing of venture creation in relation to their professional lifespan.
 - Economic Development, or
 - Type of Business

TYPES OF ENTREPRENEURS

Classification basing on timing of venture creation.

- Basing on the timing of venture creation entrepreneurs are classified as:
 - A. Early starters
 - B. Experienced and
 - C. Mature

A. Early starters

- Starting business at young age
- An early starter is generally convinced of the great potential of his/her business idea, and feels that the opportunity may cease to exist if s/he wait too long.
- Starts the venture with little or no full-time work experience.
- They are normally from business families.

C. Mature

- Some very senior professionals, some at the level of CEO, are quitting their jobs to start their own ventures.
- This is probably because they have very high confidence in their abilities and have a desire to do things in a way that may not be totally acceptable to their former employers.

A. Early starters

- For early starters, time being on their side, they can build a business, make mistakes and still have enough time and resources to rebuild it.
- Starting on time allows people to absorb the much needed knowledge to work perfectly on their business vision.

Classification based on socio-cultural background

A. First generation entrepreneurs

- This category consists of entrepreneurs whose parents or family had not been into business and were into salaried service.
- A booming economy, deregulation, and change of mindset may lead to multitude of business opportunities for these people to open business.

B. Experienced

- They have spent a few years working in the family business or in some other large company.
- Usually the venture is related to the type of work the entrepreneur was previously engaged in.
- The entrepreneur brings a lot of experience, skills, and personal credibility into the venture.

B. Entrepreneurs from business families

- Entrepreneurship becomes easier for one from business family or from business community as there is a solid support structure to help in times of need.
- But entrepreneurial success needs far more than just that.

C. Minority entrepreneurs

- These are entrepreneurs from ethnic groups which have not ventured into business.
- Low levels of entrepreneurial activity are witnessed among these tribes.

A. Novice

- A novice is someone who has started his/her entrepreneurial venture with a lot of experience in the industry.
- Experience can be acquired from employment works,

D. Women Entrepreneurs

- Women as entrepreneurs have been a recent phenomenon,
- The social norms in many ethnic groups made it difficult for women to have a professional life.

B. Serial entrepreneur

- A serial entrepreneur is one who is devoted to one venture at a time but ultimately starts many.
- It is the process of starting that excites the starter
- Once the business is established, the serial entrepreneur may lose interest and think of selling and moving on.

Classification based on entrepreneurial activity

- Entrepreneurs are classified as:
 - A. Novice
 - B. Serial entrepreneur and
 - C. Portfolio entrepreneur

C. Portfolio entrepreneur

- A portfolio entrepreneur starts and runs a number of businesses,
- It may be a strategy of spreading risk, or
- It may be that the entrepreneur is excited by a variety of opportunities.
- Also, the entrepreneurs may see some synergies between the ventures.

Reading Assignment

- Read about classification of entrepreneurs basing on:
 - Economic Development, and
 - Type of Business

Role of entrepreneurship to economic development

- Every successful entrepreneur brings about benefits not only for himself/ herself but for the country as a whole.
- The benefits that can be derived from entrepreneurial activities are as follows:
 - ☐ Enormous personal financial gain
 - ☐ Self-employment, own bossing, offering more job satisfaction and flexibility of the work force

Role of Entrepreneurship

Role of entrepreneurship to economic development

- ☐ Employment for others, often in better jobs
- ☐ Development of more industries, especially in rural areas or regions disadvantaged by economic changes

Role of entrepreneurship to economic development

- The roles of entrepreneurship involves change in the structure of business and society, accompanied by growth and increased output, which allows more wealth to be divided by the various participants.

Role of entrepreneurship to economic development

- ☐ Encouragement of the processing of local materials into finished goods for domestic consumption as well as for export
- ☐ Income generation and increased economic growth.
- ☐ Healthy competition thus encourages higher quality products

Role of entrepreneurship to economic development

- ☐ More goods and services available
- ☐ Development of new markets
- ☐ Promotion of the use of modern technology in small-scale manufacturing to enhance higher productivity.

Economic Downturns and Entrepreneurship

- Benefits of starting a venture in a downturn
 - lower opportunity cost
 - competition may be less intense
 - easy to hire high quality employees
- Famous companies started during economic downturns



Role of entrepreneurship to economic development

- ☐ Encouragement of more researches/ studies and development of modern machines and equipment for domestic consumption
- ☐ Development of entrepreneurial qualities and attitudes among potential entrepreneurs to bring about significant changes in the rural areas
- ☐ Freedom from the dependency on the jobs offered by others

Globalization of Entrepreneurship

- Entrepreneurship now comes from all over the world and is driven by
 - increased competition for ideas and for financing
 - technological advances: communications and computers
 - government policies and subsidies

Role of entrepreneurship to economic development

- ☐ Ability to have great accomplishments
- ☐ Reduction of the informal economy
- ☐ Emigration of talent may be stopped by a better domestic entrepreneurship climate
- ☐ Serious tax advantages

Why do people opt for self-employment?

OR

Why do people start their own business?

Why start a business?

- Owning your own business is a great dream for most people.
- It remains a dream for many but few turn these dreams into action,
- Before taking action take your time and figure it out before you commit your time, money and resources to a new venture.

Why start a business?

☐ Flexibility

- You want a schedule that allows you work when you want to; and to spend time for other family, private issues when you want to.
- However, some business will require you to spend more time on the job.

Why start a business?

• Common reasons:

☐ Control

- You do not like to have a boss, you want to be your own boss and make decisions.
- Having your own business gives you far greater opportunity to exercise your own free will.
- However, even in your own business many of your decisions will be dictated by government regulations, customers, and even your employees.

Why start a business?

☐ Money /Wealth

- Most people start business because they feel that it is the only logical way to become rich.
- Most of the wealthy people have got their money through business, either by starting one or by inheriting one.
- ❖ BUT not every body who starts business ends up being wealthy.

Why start a business?

☐ The idea

- You have a great idea or a product that will revolutionize the world.
- No one is currently offering it and you think you should not waste any time in going ahead.

BUSINESS IDEA

What is a business idea?

- A business idea is a concept that can be used to make money.
- Usually it centers on a product or service that can be offered for money.
- An idea is the first milestone in the process of founding a business.

Business Idea

- Generating ideas is an innovative and creative process.
- It is the most difficult aspect of starting a business.
- Fruitful ideas often occur at points where your skill set, your hobbies and interests, and your social networks intersect.

What is a business idea?

- **Business Idea:** is a basic concept for starting a business aimed at achieving some commercial purposes. **OR**
- **A business idea** is a concept which can be used for commercial purposes and it centers around a commodity or service that can be sold for money.

Business Idea

- In other words, the best ideas for a new business are likely to come from activities and people that you already know well.

Business Idea

- Although a business idea has the potential to make money, it has no commercial value initially.
- In fact, most business ideas exist in abstract form; in the mind of its creator or investor.

Source of new ideas

- Any good business ideas could be an invention, a new product or service, or an original idea or solution to an everyday problems.
- A good business idea does not necessarily have to be a unique products or services.

Source of new ideas

- The chances will be far greater if you can market a product similar to existing offerings, while providing greater value to customers.

Source of new ideas

- ✓ Spot the latest trends.
- ✓ Changing the delivery method, packaging, unit size or shape.
- ✓ Increasing mobility, access, portability or disposability.
- ✓ Simplifying repair, maintenance, replacement or cleaning.
- ✓ Changing their colour, material or shape.

Source of new ideas

- Some few ways to build upon the already existing material for your new business:
- ✓ Develop ideas as an extension of an existing product (e.g. adding camera and song features to a mobile phone).
- ✓ Create an improved service (e.g. fast delivery services).
- ✓ Market a product at a lower price (e.g. via e-commerce)
- ✓ Add value to an existing product or service.

Techniques for Generating Ideas

- In general, entrepreneurs identify more ideas than opportunities because many ideas are typically generated to find the best way to capitalize on an opportunity.

Source of new ideas

- ✓ Altering their quality or quantity.
- ✓ Introducing automation, simplification, convenience,
- ✓ Personal interests or hobbies many people find ways to turn their hobbies into successful businesses.
- ✓ Work experiences, skills, abilities a business, related to the work you do.

Techniques for Generating Ideas

- Brainstorming
- Focus Groups
- Observation
- Surveys
- Emerging Trends
- Research and Development
- Tradeshows and association meetings
- Other Technique

Techniques for Generating Ideas

- **Brainstorming:**
 - A small group of people interact, with the goal of producing a large quantity of novel and imaginative ideas.
 - The leader of the group asks the participants to share their ideas.
 - As group members interact, each idea sparks the thinking of others, and the spawning of ideas becomes contagious.

Techniques for Generating Ideas

- **Surveys:**
 - This process involves the gathering of data based on communication with a representative sample of individuals.
 - This research technique requires asking people who are called respondents for information either verbally or by using written questions.
 - Questionnaires or interviews are utilised to collect data.

Techniques for Generating Ideas

- **Focus Groups:**
 - Group of individuals who provide information using a structured format.
 - Normally, a moderator will lead a group of people through an open, in depth discussion.
 - Group members will form comments in open-end in-depth discussion for a new product area that can result in market penetration.

Techniques for Generating Ideas

- **Emerging Trends:**
 - E.g. The population within your area may be getting older and creating demand for new products and services.
 - Artificial Intelligence, Growth of automation.

Techniques for Generating Ideas

- **Observation:**
 - A method that can be used to describe a person or group of people's behaviour by probing.
 - E.g.
 - What do people/organisations buy?
 - What do they want and cannot buy?
 - What do they buy and don't like?
 - Where do they buy, when and how?
 - Why do they buy?
 - What are they buying more of?
 - What else might they need but cannot get?

Techniques for Generating Ideas

- **Research and Development:**
 - Researching new methods, skills and techniques enable entrepreneurs to enhance their performance and ability to deliver better products and services.

Techniques for Generating Ideas

- **Tradeshows and association meetings:**
 - An excellent way to examine the products of many potential competitors, uncover product trends and identify potential products.
- **Other Techniques:**
 - Reading relevant trade magazines and browsing through trade directories.
 - Publications.

Business Opportunity

- **What is a business opportunity?**
- A business opportunity is a business idea that has been researched upon, refined and packaged into a promising venture that is ready to launch.

Techniques for Generating Ideas

Other Techniques continued.....

- Travel
- Meet new people
- Going online
- Etc

Business Opportunity

- An opportunity is a favorable set of circumstances that creates a need for a new product, service, or business.

Business Opportunity

Business Opportunity

- An opportunity is regarded as one after it has been found to meet the following criteria:
 - It must have high gross margins
(Gross margin = difference between revenue and cost of goods sold).